

09 Equity and property markets

4 primary questions | Oldest to newest

2026 objectives: 2.3.1-2.3.2

13 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P1 April 2005 Q6	13 marks
CA1-P1 April 2016 Q3	12 marks
CP1-P1 April 2021 Q8	15 marks
CP1-P1 April 2023 Q9	13 marks

CA1-P1 | April 2005 | Q6

[Current topic](#) | [13 marks total](#) | [Original PDF p3](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 6**
- (i) Describe the two main types of dealing system in use in stock exchanges. [4]
 - (ii) An investor wishes to trade a large amount of stock. Discuss the advantages and disadvantages of the two main types of dealing system that could be used for this. [9]
- [Total 13]

CA1-P1 | April 2016 | Q3

[Current topic](#) | [12 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 3** Market rent levels on retail units in a particular area of a city have reduced by 30% over the last year. Market rent levels on similar units in another area of the city have increased by 30% over the same period.

- (i) Suggest possible reasons for these changes. [4]

An investor is considering purchasing a number of freehold retail units in the area where rents have fallen. He intends to convert the sites into blocks of residential flats.

- (ii) Discuss the issues the investor should consider before deciding whether to proceed. [8]

[Total 12]

CP1-P1 | April 2021 | Q8

Current topic | 15 marks total | Original PDF p4

Related: Ch 10.

8 A large benefit scheme invests in a wide range of assets. The current property portfolio held by the benefit scheme consists of direct investment in offices, shops and warehouses but not in residential property.

- (i) Discuss how the scheme managers could gain exposure to residential property, without making a direct investment. [4]

The scheme managers are proposing to directly invest in residential property. The proposal will involve buying the land, developing properties and then renting them to private tenants.

- (ii) Explain why the scheme managers may wish to invest directly in residential property. [5]

- (iii) Discuss the risks involved with investing in this proposal. [6]

[Total 15]

CP1-P1 | April 2023 | Q9

Current topic | 13 marks total | Original PDF p4

Related: Ch 11.

- 9** An investment fund invests only in its domestic market. Its usual investment strategy has been to invest 50% in equities, 20% in property and 30% for the remainder, split equally between government bonds, corporate bonds and infrastructure.

Following a market shock, the proportion of funds in property has been significantly reduced. The investment manager of the fund is planning to rebalance and increase its property proportion back to 20%. The investment manager is considering investing in a large shopping centre.

- (i) Outline possible reasons why, following the market shock, the proportion of funds in property has been significantly reduced. [7]
 - (ii) Discuss the suitability of a shopping centre as an investment for the fund. [6]
- [Total 13]